not to use the EZ: You can't deduct your student loan interest payments or your contribution to a deductible IRA.

- **1040A.** This form is almost as simple as the EZ form. To use it, your total taxable income must be less than $100,000, but your taxable interest and dividends can be more than $1,500. This form does not allow you to itemize, but it does permit you to claim tax credits and take deductions for deductible IRA contributions and student loan interest payments.
- **1040.** This form is more complicated, but it's the one to use if you think the value of your itemized deductions is larger than the standard deduction. Also, if your income is $100,000 or more (or you receive certain types of income like rent or capital gains), you'll be *required* to fill out the 1040. In order to itemize on the 1040, you must fill out an additional form called Schedule A, which will help you figure out the value of your itemized deductions. (For an example of how filling out the 1040 and itemizing can work to your advantage, see Figure 9–2.)

Of course, you'll probably also need to file your state and local tax forms by April 15. You can download them from www.taxsites.com, which features links to all the state tax forms you may need.

Paperwork: What to Keep and What to Shred

Good record keeping is important when it comes to filing your taxes. If you use a tax preparer and he or she has to spend hours sifting through shoe boxes full of your receipts and documents, you may have to make more than one appointment, and you'll be charged extra. By keeping neat, accurate records, you will save time and money. Below are the names of tax-related file folders you should set up.

- **Tax Returns: 2009, 2010, 2011, etc.** Each year add a new folder to hold your most important tax documents, including income statements from your employers (W-2s) and a copy of your tax return (after it's filed, of course). Save each